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Introduction to Geopolitics

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INTERNATIONAL TRADE ORGANIZATIONS

Learning Outcome

- describe functions and objectives of the international organizations that facilitate trade, including the World Bank, the International Monetary Fund, and the World Trade Organization

During the Great Depression in the 1930s, countries attempted to support their failing economies by sharply raising barriers to foreign trade, devaluing their currencies to compete against each other for export markets, and restricting their citizens' freedom to hold foreign exchange. These attempts proved to be self-defeating. World trade declined dramatically and employment and living standards fell sharply in many countries. By the 1940s, it had become a widespread conviction that the world economy needed organizations to help promote international economic cooperation. In July 1944, during the United Nations Monetary and Financial Conference in Bretton Woods, New Hampshire, representatives of 45 governments agreed on a framework for international economic cooperation. Two crucial, multinational organizations emanated from this conference—the World Bank, which was founded during the conference, and the International Monetary Fund (IMF), which came into formal existence in December 1945. Although the IMF was founded with the goal to stabilize exchange rates and assist the reconstruction of the world's international payment system, the World Bank was created to facilitate post-war reconstruction and development.

A third institution, the International Trade Organization (ITO), was to be created to handle the trade side of international economic cooperation, joining the other two Bretton Woods institutions. The draft ITO charter was ambitious, extending beyond world trade regulations to include rules on employment, commodity agreements, restrictive business practices, international investment, and services. The objective was to create the ITO at a United Nations Conference on Trade and Employment in Havana, Cuba in 1947. Meanwhile, 15 countries had begun negotiations in December 1945 to reduce and regulate customs tariffs. With World War II only barely ended, they wanted to give an early boost to trade liberalization and begin to correct the legacy of protectionist measures that had remained in place since the early 1930s. The group had expanded to 23 nations by the time the deal was signed on 30 October 1947 and the General Agreement on Tariffs and Trade (GATT) was born. The Havana conference began on 21 November 1947, less than a month after GATT was signed. The ITO charter was finally approved in Havana in March 1948, but ratification in some national legislatures proved impossible. The most serious opposition was in the US Congress, even though the US government had been one of the driving forces. In 1950, the US government announced that it would not seek congressional ratification of the Havana Charter, and the ITO was effectively dead. As a consequence, the GATT became the only multilateral instrument governing international trade from 1948 until the World Trade Organization (WTO) was officially established in 1995.

Role of the International Monetary Fund

As we saw earlier, current account deficits reflect a shortage of net savings in an economy and can be addressed by policies designed to rein in domestic demand. This approach, however, could have adverse consequences for domestic employment. The IMF stands ready to lend foreign currencies to member countries to assist them during periods of significant external deficits. A pool of gold and currencies contributed by members provides the IMF with the resources required for these lending operations. The funds are lent only under strict conditions and borrowing countries' macroeconomic policies are continually monitored. The IMF's main mandate is to ensure the stability of the international monetary system, the system of exchange rates and international payments that enables countries to buy goods and services from each other. More specifically, the IMF:

- provides a forum for cooperation on international monetary problems;
- facilitates the growth of international trade and promotes employment, economic growth, and poverty reduction;
- supports exchange rate stability and an open system of international payments; and
- lends foreign exchange to members when needed, on a temporary basis and under adequate safeguards, to help them address balance of payments problems.

The 2008–2009 Global Financial Crisis demonstrated that domestic and international financial stability cannot be taken for granted, even in the world's most developed countries. In light of these events, the IMF has redefined and deepened its operations by:

- *enhancing its lending facilities*: The IMF has upgraded its lending facilities to better serve its members. As part of a wide-ranging reform of its lending practices, it also has redefined the way it engages with countries on issues related to structural reform of their economies. In this context, it has doubled member countries' access to fund resources and streamlined its lending approach to reduce the stigma of borrowing for countries in need of financial help.
- *improving the monitoring of global, regional, and country economies*: The IMF has taken several steps to improve economic and financial surveillance, which is its framework for providing advice to member

provides finance ministers and central bank governors with a common framework for discussing the global economy.

- *analyzing capital market developments*: The IMF is devoting more resources to the analysis of global financial markets and their links with macroeconomic policy. It also offers training to country officials on how to manage their financial systems, monetary and exchange regimes, and capital markets.
- *assessing financial sector vulnerabilities*: Resilient, well-regulated financial systems are essential for macroeconomic stability in a world of ever-growing capital flows. The IMF and the World Bank jointly run an assessment program aimed at alerting countries to vulnerabilities and risks in their financial sectors.

From an investment perspective, the IMF helps to keep country-specific market risk and global systemic risk under control. The Greek sovereign debt crisis, which threatened to destabilize the entire European banking system, is an example. In early 2010, the Greek sovereign debt rating was downgraded to non-investment grade by leading rating agencies as a result of serious concerns about the sustainability of Greece's public sector debt load. Yields on Greek government bonds rose substantially following the downgrading and the country's ability to refinance its national debt was seriously questioned in international capital markets. Bonds issued by some other European governments fell and equity markets worldwide declined in response to spreading concerns of a Greek debt default. The downgrading of Greek sovereign debt was the ultimate consequence of persistent and growing budget deficits the Greek government had run before and after the country had joined the European Monetary Union (EMU) in 2001. Most of the budget shortfalls reflected elevated outlays for public-sector jobs, pensions, and other social benefits as well as persistent tax evasion. Reports that the Greek government had consistently and deliberately misreported the country's official economic and budget statistics contributed to further erosion of confidence in Greek government bonds in international financial markets. Facing default, the Greek government requested that a joint European Union/IMF bailout package be activated, and a loan agreement was reached between Greece, the other EMU member countries, and the IMF. The deal consisted of an immediate EUR45 billion in loans to be provided in 2010, with more funds available later. A total of EUR110 billion was agreed depending on strict economic policy conditions that included cuts in wages and benefits, an increase in the retirement age for public-sector employees, limits on public pensions, increases in direct and indirect taxes, and a substantial reduction in state-owned companies. By providing conditional emergency lending facilities to the Greek government and designing a joint program with the European Union on how to achieve fiscal consolidation, the IMF prevented a contagious wave of sovereign debt crises in global capital markets.

Another example of IMF activities is the East Asian Financial Crisis in the late 1990s. It began in July 1997, when Thailand was forced to abandon its currency's peg with the US dollar. Currency devaluation subsequently hit other East Asian countries that had similar balance of payment problems, including South Korea, Malaysia, the Philippines, and Indonesia. They had run persistent and increasing current account deficits, financed mainly with short-term capital imports, in particular, domestic banks borrowing in international financial markets. External financing was popular because of the combination of lower foreign (especially US) interest rates and fixed exchange rates. Easy money obtained from abroad led to imprudent investment, which contributed to overcapacities in several industries and inflated prices on real estate and stock markets. The IMF came to the rescue of the affected countries with considerable loans, accompanied by policies designed to control domestic demand, which included fiscal austerity and tightened monetary reins.

World Bank Group and Developing Countries

The World Bank's main objective is to help developing countries fight poverty and enhance environmentally sound economic growth. For developing countries to grow and attract business, they have to

- strengthen their governments and educate their government officials;
- implement legal and judicial systems that encourage business;
- protect individual and property rights and honor contracts;
- develop financial systems robust enough to support endeavors ranging from micro credit to financing larger corporate ventures; and
- combat corruption.

Given these targets, the World Bank provides funds for a wide range of projects in developing countries worldwide and financial and technical expertise aimed at helping those countries reduce poverty.

The World Bank's two closely affiliated entities—the International Bank for Reconstruction and Development (IBRD) and the International Development Association (IDA)—provide low or no-interest loans and grants to countries that have unfavorable or no access to international credit markets. Unlike private financial institutions, neither the IBRD nor the IDA operates for profit. The IBRD is market-based, and uses its high credit rating to pass the low interest it pays for funds on to its borrowers—developing countries. It pays for its own operating costs because it does not look to outside sources to furnish funds for overhead.

IBRD lending to developing countries is primarily financed by selling AAA-rated bonds in the world's financial markets. Although the IBRD earns a small margin on this lending, the greater proportion of its income comes from lending out its own capital. This capital consists of reserves built up over the years and money paid in from the Bank's 185 member country shareholders. IBRD's income also pays for World Bank operating expenses and has contributed to IDA and debt relief. IDA is the world's largest source of interest-free loans

outstanding of USD129.5 billion, while its borrowings amounted to USD152 billion.

In addition to acting as a financier, the World Bank also provides analysis, advice, and information to its member countries to enable them to achieve the lasting economic and social improvements their people need. Another core function of the World Bank is to increase the capabilities of its partners, people in developing countries, and its own staff. Links to a wide range of knowledge-sharing networks have been set up by the Bank to address the vast need for information and dialogue about development.

From an investment perspective, the World Bank helps to create the basic economic infrastructure that is essential for the creation of domestic financial markets and a well-functioning financial industry in developing countries. Moreover, the IBRD is one of the most important supranational borrowers in the international capital markets. Because of its strong capital position and its very conservative financial, liquidity, and lending policies, it enjoys the top investment-grade rating from the leading agencies, and investors have confidence in its ability to withstand adverse events. As a result, IBRD bonds denominated in various major currencies are widely held by institutional and private investors.

World Trade Organization and Global Trade

The WTO provides the legal and institutional foundation of the multinational trading system. It is the only international organization that regulates cross-border trade relationships among nations on a global scale. It was founded on 1 January 1995, replacing the General Agreement on Tariffs and Trade (GATT) that had come into existence in 1947. The GATT was the only multilateral body governing international trade from 1947 to 1995. It operated for almost half a century as a quasi-institutionalized, provisional system of multilateral treaties. Several rounds of negotiations took place under the GATT, of which the Tokyo round and the Uruguay round may have been the most far reaching. The Tokyo round was the first major effort to address a wide range of non-tariff trade barriers, whereas the Uruguay round focused on the extension of the world trading system into several new areas, particularly trade in services and intellectual property, but also to reform trade in agricultural products and textiles. The GATT still exists in an updated 1994 version and is the WTO's principal treaty for trade in goods. The GATT and the General Agreement on Trade in Services (GATS) are the major agreements within the WTO's body of treaties that encompasses a total of about 60 agreements, annexes, decisions, and understandings.

In November 2001, the most recent round of negotiations was launched by the WTO in Doha, Qatar. The Doha round was an ambitious effort to enhance globalization by slashing barriers and subsidies in agriculture and addressing a wide range of cross-border services. So far, under GATS, which came into force in January 1995, banks, insurance companies, telecommunication firms, tour operators, hotel chains, and transport companies that want to do business abroad can enjoy the same principles of free and fair trade that previously had applied only to international trade in goods. Although no final agreement was reached in the Doha round, it marked one of the most crucial events in global trade over the past several decades: China's accession to the WTO in December 2001. The inability to reach agreement in the Doha round led to an increasing number of bilateral and multilateral trade agreements, such as the Trans-Pacific Partnership with Japan, Vietnam, and nine other countries.

The WTO's most important functions are the implementation, administration, and operation of individual agreements; acting as a platform for negotiations; and settling disputes. Moreover, the WTO has the mandate to review and propagate its members' trade policies and ensure the coherence and transparency of trade policies through surveillance in a global policy setting. The WTO also provides technical cooperation and training to developing, least-developed, and low-income countries to assist with their adjustment to WTO rules. In addition, the WTO is a major source of economic research and analysis, producing ongoing assessments of global trade in its publications and research reports on special topics. Finally, the WTO works in cooperation with the other two Bretton Woods institutions, the IMF and the World Bank.

From an investment perspective, the WTO's framework of global trade rules provides the major institutional and regulatory base without which today's global multinational corporations would be hard to conceive. Modern financial markets would look different without the large, multinational companies whose stocks and bonds have become key elements in investment portfolios. In the equity universe, for instance, investment considerations focusing on global sectors rather than national markets would make little sense without a critical mass of multinational firms competing with each other in a globally defined business environment.

Question Set

On 10 May 2010, the Greek government officially applied for emergency lending facilities extended by the International Monetary Fund. It sent the following letter to the IMF's Managing Director:

Request for Stand-By Arrangement

This paper was prepared based on the information available at the time it was completed on Monday, May 10, 2010. The views expressed in this document are those of the staff team and do not necessarily reflect the views of the government of Greece or the Executive Board of the IMF. The policy of publication of staff reports and other documents by the IMF allows for the deletion of market-sensitive information.

International Monetary Fund

Washington DC

The attached Memorandum of Economic and Financial Policies (MEFP) outlines the economic and financial policies that the Greek government and the Bank of Greece, respectively, will implement during the remainder of 2010 and in the period 2011–2013 to strengthen market confidence and Greece's fiscal and financial position during a difficult transition period toward a more open and competitive economy. The government is fully committed to the policies stipulated in this document and its attachments, to frame tight budgets in the coming years with the aim to reduce the fiscal deficit to below 3 percent in 2014 and achieve a downward trajectory in the public debt-GDP ratio beginning in 2013, to safeguard the stability of the Greek financial system, and to implement structural reforms to boost competitiveness and the economy's capacity to produce, save, and export. (…) The government is strongly determined to lower the fiscal deficit, (…) by achieving higher and more equitable tax collections, and constraining spending in the government wage bill and entitlement outlays, among other items. In view of these efforts and to signal the commitment to effective macroeconomic policies, the Greek government requests that the Fund supports this multi-year program under a Stand-By Arrangement (SBA) for a period of 36 months in an amount equivalent to SDR26.4 billion. (A SDR (special drawing right) is a basket of four leading currencies: Japanese yen (JPY), US dollar (USD), British pound (GBP), and euro (EUR).) A parallel request for financial assistance to euro area countries for a total amount of EUR80 billion has been sent. The implementation of the program will be monitored through quantitative performance criteria and structural benchmarks as described in the attached MEFP and Technical Memorandum of Understanding (TMU). There will be twelve quarterly reviews of the program supported under the SBA by the Fund, (….) to begin with the first review that is expected to be completed in the course of the third calendar quarter of 2010, and then every quarter thereafter until the last quarterly review envisaged to be completed during the second calendar quarter of 2013, to assess progress in implementing the program and reach understandings on any additional measures that may be needed to achieve its objectives. (….) The Greek authorities believe that the policies set forth in the attached memorandum are adequate to achieve the objectives of the economic program, and stand ready to take any further measures that may become appropriate for this purpose. The authorities will consult with the Fund in accordance with its policies on such consultations, (….) and in advance of revisions to the policies contained in the MEFP. All information requested by the Fund (….) to assess implementation of the program will be provided.

(….)

Sincerely,

George Papaconstantinou	George Provopoulos
Minister of Finance	Governor of the Bank of Greece

1. What is the objective of the IMF's emergency lending facilities?

Hide Solution

Solution:

The program seeks to safeguard the stability of the Greek financial system and to implement structural reforms to boost competitiveness and the economy's capacity to produce, save, and export.

2. What are the macroeconomic policy conditions under which the IMF provides emergency lending to Greece?

Hide Solution

Solution:

The Greek government has to reduce the country's fiscal deficit by achieving higher and more equitable tax collections as well as constrain spending in the government wage bill and entitlement outlays.

3. What is the amount Greece requests from the IMF as emergency funds?

Hide Solution

Solution:

Greece applied for a standby arrangement in an amount equivalent to SDR26.4 billion (approximately USD39.5 billion, based on the 10 May 2010 exchange rate).

4. Which of the following international trade organizations regulates cross-border exchange among nations on a global scale?

A. World Bank Group (World Bank)
B. World Trade Organization (WTO)

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B is correct. The WTO provides the legal and institutional foundation of the multinational trading system and is the only international organization that regulates cross-border trade relations among nations on a global scale. The WTO's mission is to foster free trade by providing a major institutional and regulatory framework of global trade rules. Without such global trading rules, today's global transnational corporations would be hard to conceive.

5. Which of the following international trade organizations has a mission to help developing countries fight poverty and enhance environmentally sound economic growth?

A. World Bank Group (World Bank)
B. World Trade Organization (WTO)
C. International Monetary Fund (IMF)

Hide Solution

Solution:

A is correct. The World Bank's mission is to help developing countries fight poverty and enhance environmentally sound economic growth. The World Bank helps to create the basic economic infrastructure essential for creation and maintenance of domestic financial markets and a well-functioning financial industry in developing countries.

6. Which of the following organizations helps to keep global systemic risk under control by preventing contagion in scenarios such as the 2010 Greek sovereign debt crisis?

A. World Bank Group (World Bank)
B. World Trade Organization (WTO)
C. International Monetary Fund (IMF)

Hide Solution

Solution:

C is correct. From an investment perspective, the IMF helps to keep country-specific market risk and global systemic risk under control. The Greek sovereign debt crisis in 2010, which threatened to destabilize the entire European banking system, is a recent example. The IMF's mission is to ensure the stability of the international monetary system—that is, the system of exchange rates and international payments that enables countries to buy goods and services from each other.

7. Which of the following international trade bodies was the only multilateral body governing international trade from 1948 to 1995?

A. World Trade Organization (WTO)
B. International Trade Organization (ITO)
C. General Agreement on Tariffs and Trade (GATT)

Hide Solution

Solution:

C is correct. The GATT was the only multilateral body governing international trade from 1948 to 1995. It operated for almost half a century as a quasi-institutionalized, provisional system of multilateral treaties and included several rounds of negotiations.

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What do you want to discuss... (required)

BR "External financing was popular because of the combination of lower foreign (especially US) interest rates and fixed exchange rates."

This statement is incorrect. An entity should be indifferent when seeking external financing with fixed exchange rates because of interest rate parity.

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